In similar fashion, the objective of ‘Make in India’ can go wrong if this morphs into an attempt to reduce import content, in which case it will become much like the old policy strategy of ‘import substitution’ (IS).

Common sense on taxes

In the field of tax policy, the objective is often stated in terms of a stated tax/GDP ratio. This is the wrong way to think about the problem.

Collecting taxes induces distortions upon the economy, and harms GDP. We should be asking how the tax system can yield a desired *level* of tax revenue, while GDP is as high as possible. When tax reforms reduce distortions and yield higher GDP growth, we should be delighted, even if the tax/GDP ratio were to come down.

Faced with a choice of a GDP of Rs 100 and a tax/GDP ratio of 20 per cent, vs a GDP of Rs 200 and a tax/GDP ratio of 15 per cent, we should prefer the latter. A single-minded focus upon the tax/GDP ratio is inappropriate; we must see the larger picture.

On a similar note, the emphasis on revenue neutrality in the GST, in the short run, was a mistake.

Government is an important buyer of goods and services, and a low single-rate GST would yield cost savings for all levels of government.

There are strong interlinkages between GST and direct tax collections. The value-added tax (VAT) chain induces legibility for the state, and this legibility induces higher direct tax revenues also. A successful GST reform will yield higher direct tax collections also. Looking for revenue neutrality between the new GST and the old indirect taxes is an incomplete vision.

Looking for *budget neutrality* in the induction of GST, instead of *revenue neutrality*, would have been better.

In addition, fundamental tax reforms always involves giving up revenues in the short term and making it up on higher GDP growth. Consider the reduction of Indian protectionism: There was an immediate loss of customs tax revenues, but more global integration resulted in higher GDP growth,